

SECTION 9: EXTENSION OF TRADE THEORY AND ECONOMIC DEVELOPMENT

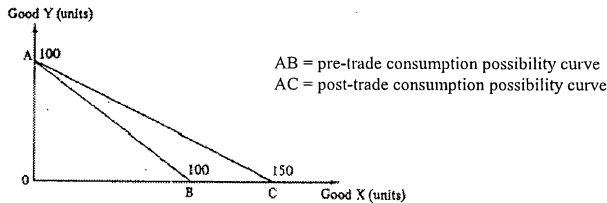
9.1 EXTENSION OF TRADE THEORY

Multiple Choice Questions

(Note: For reference only; no multiple-choice question will be set on the elective parts.)

1990/AL/II/20

Refer to the following diagram about a country:

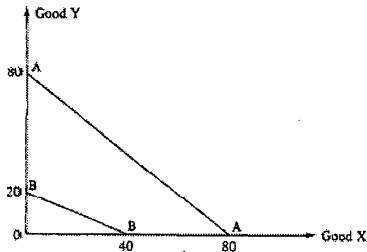


Which of the following statements about the country are correct?

- (1) Trade allows consumption to go beyond its production possibility curve.
- (2) It has a comparative advantage over its trading partner in the production of X.
- (3) The cost to its trading partner of producing 1 Y is higher than 1.5X.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

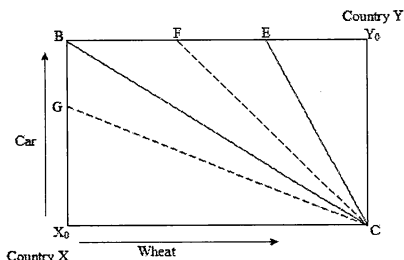
1991/AL/II/04



In the above diagram, AA and BB are the production-possibility frontiers of Countries A and B respectively,

- A. Country A will not trade with Country B.
- B. Country A will export Good X to Country B.
- C. Country B has a comparative advantage in the production of Good X.
- D. Country B has an absolute advantage over Country A in the production of Good Y.

1992/AL/II/29



Refer to the above diagram. BC and CE are the production possibility frontiers of Country X and Country Y respectively. Which of the following statements is **FALSE**?

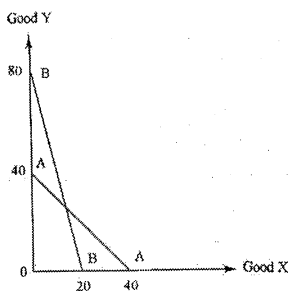
- A. Country X has a comparative advantage in the production of wheat.
- B. Country Y has a higher opportunity cost in the production of wheat.
- C. If CG represents the terms of trade, Country X gains through importing cars from Country Y.
- D. If CF represents the terms of trade, Country X gains through importing cars from Country Y.

1995/AL/II/21

Trade enables a country to

- A. produce beyond its production possibility curve.
- B. consume beyond its production possibility curve.
- C. produce and consume beyond its production possibility curve.
- D. None of the above.

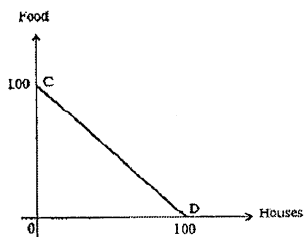
1996/AL/II/24



Refer to the above diagram; AA and BB are the production possibility frontiers of Country A and B respectively. Which of the following statements is correct?

- A. Country A has a comparative advantage in the production of good Y.
- B. Country B has a lower opportunity cost in the production of good X.
- C. Country A gains through importing good Y from country B if the terms of trade is $1X = 1.5Y$.
- D. Both countries will not trade with each other if the terms of trade is $1X = 2Y$.

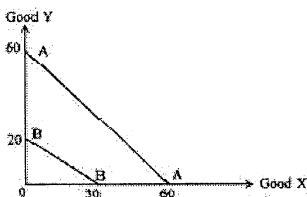
1997/AL/II/17



If CD is the production possibility frontier of both countries A and B, then

- (1) neither country has an absolute advantage in the production of food.
 - (2) neither country has a comparative advantage in the production of food.
 - (3) the domestic exchange ratio between food and houses will be 1 : 1 for both countries.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1998/AL/II/18

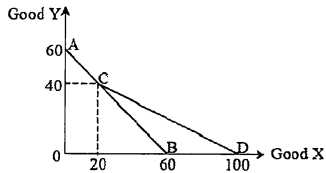


In the above diagram, AA and BB are the production-possibility frontiers of Country A and B, respectively. Which of the following statements must be true?

- (1) Country A will not trade with Country B.
 - (2) Country A has a comparative advantage in the production of good Y.
 - (3) Country A has an absolute advantage over Country B in the production of both good X and Good Y.
- A. (1) only
 - B. (2) only
 - C. (1) and (2) only
 - D. (2) and (3) only

1999/AL/II/19

Consider the diagram below for an economy that has just opened itself up to trade with the outside world. AB shows the pre-trade consumption possibility curve while CD shows the post-trade consumption possibility curve. Which of the following is correct?



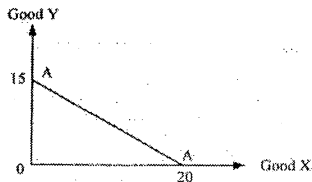
- A. Trade enables the country to increase the production of good X along CD.
- B. The opportunity cost of producing each unit of good Y is more than two units of good X for the trading partner of this country.
- C. The country has a comparative advantage over its trading partner in the production of good X.
- D. None of the above.

2001/AL/II/20

Country A uses labour only to produce good X and Y. The labour requirements for each unit of X and Y are 0.5 and 2 respectively. Without international trade, Country A consumes 50 units of X and 50 units of Y. Suppose the terms of trade is 1, which of the following statements are correct?

- (1) With international trade, Country A will produce more good Y.
 - (2) With international trade, Country A will increase its consumption of good X.
 - (3) With international trade, Country A will increase its consumption of good Y.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

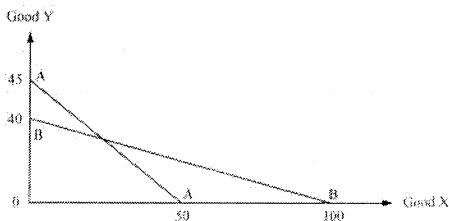
2001/AL/II/21



In the above diagram, AA is the production possibility frontier of country A. Suppose the terms of trade is 1. The net gain of country A for each unit of its import is ____ unit of good X.

- A. 1/6
- B. 1/5
- C. 1/4
- D. 1/3

2001/AL/II/26

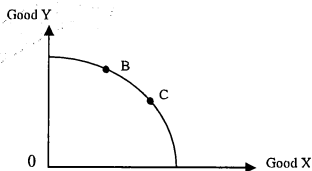


In the above diagram, AA and BB represent the production possibility frontiers of Country A and Country B respectively. Which of the following is correct?

- A. Country A has an absolute advantage in the production of Good Y.
- B. Country B has a comparative advantage in the production of Good X because it can produce more Good X than Country A.
- C. They will not trade with each other if the terms of trade is 1.
- D. None of the above.

2002/AL/I/24

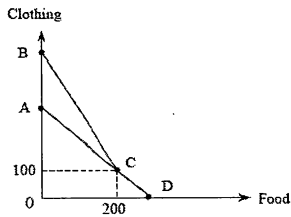
Refer to the production possibility curve of country A below.



Country A's production point will move from B to C when

- A. the relative price of Good X increases.
- B. the relative price of Good Y increases.
- C. there is a change in the amount of resources available.
- D. there is a change in technology.

Refer to the following diagram and answer questions 27 and 28.



2002/AL/II/27

In the above diagram, ACD is the production possibility frontier of Country Y while BCD is its consumption possibility frontier with international trade. With international trade, the production point for Country X is:

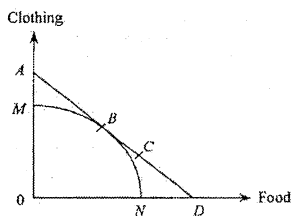
- A. A
- B. B
- C. C
- D. D

2002/AL/II/28

Suppose the value of A and B in the above diagram is 300 and 500 respectively. With international trade,

- A. Country X must be consuming more clothing than it did before trade.
- B. Country X gains 1 unit of food per unit of clothing traded.
- C. the value of D is 600.
- D. the terms of trade is 1 unit of food for 2 units of clothing.

Refer to the following diagram and answer Questions 24 and 25. MBN is the production possibility frontier of Country S. With international trade, the production point and the consumption point of Country X are B and C respectively.



2003/AL/II/24

The terms of trade is measured by

- A. OD/OA
- B. ON/OM
- C. AB/BD
- D. AB/AD

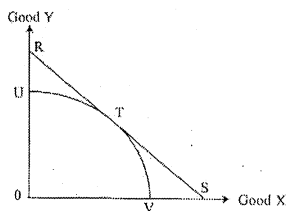
2003/AL/II/25

Without international trade, the consumption point of Country X will lie on

- A. MB
- B. BN
- C. AB
- D. BC

2005/AL/II/27

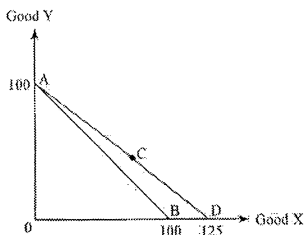
In the following diagram, UTV is the production possibility curve of a country for two goods X and Y. The point T is the pre-trade equilibrium position. The slope of the line RTS is 1.



When international trade, at a price of 3 units of X per unit of Y, the country will export _____ and gain _____ for each unit of its imports.

- A. X 2 units of X
- B. X $2/3$ units of X
- C. Y 2 units of Y
- D. Y $2/3$ units of Y

Study the following diagram and answer Questions 26 and 27.



AB is the consumption possibility frontier of a country when there is no trade. When the country trades with the outside world, its consumption possibility frontier is AD and its consumption point is C.

2006/AL/II/26

Which of the following statements is correct?

- A. The production possibility frontier of the country is AD with international trade.
- B. With international trade, the country may produce both Good X and Good Y.
- C. The country may consume less Good Y with international trade than without.
- D. The trading partners of the country have an absolute advantage in the production of Good X.

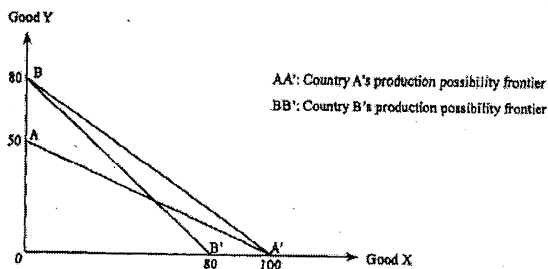
2006/AL/II/27

In trading with other countries, the country will gain _____ per unit of export.

- A. 0.2 units of Good X
- B. 0.2 units of Good Y
- C. 0.25 units of Good X
- D. 0.25 units of Good Y

2007/AL/II/24

The diagram below shows the production possibility frontiers of Country A and Country B.

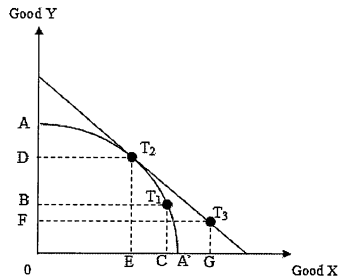


Suppose the terms of trade between the two countries is $1X = 0.8Y$. Which of the following is correct?

- A. A'B is the consumption possibility frontier for both countries when they trade.
- B. Both countries will consume more of both goods after trade.
- C. Country A enjoys absolute advantage in the production of Good X.
- D. Country A's opportunity cost of producing Good Y decreases when the two countries trade.

2008/AL/II/24

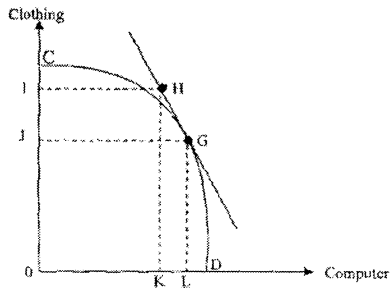
The diagram below shows the production possibility frontiers (AA') of Country A. T₁ is the pre-trade consumption point. When Country A trades with the rest of the world, its production point and consumption point are T₂ and T₃ respectively.



Based on the above diagram, we can conclude that

- A. Country A has an absolute advantage in producing good Y.
- B. Country A has a comparative advantage in producing good X.
- C. the world price of good X is DF/EG.
- D. the world price of good X is DB/EC.

Refer to the following diagram and answer Questions 23 and 24. CD is the production possibility frontier of a country and H is its consumption point with international trade.



2009/AL/II/23

Which of the following statements about the country is correct?

- A. It imports clothing from other countries.
- B. It has an absolute advantage in producing clothing.
- C. It uses all its resources to produce computers.
- D. It gains more than other countries from international trade.

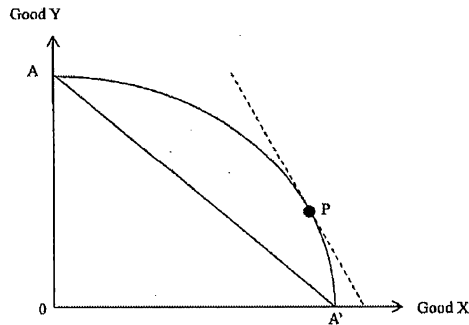
2009/AL/II/24

The terms of trade of the country is measured by _____.

- A. IJ/JG
- B. JG/IJ
- C. IJ/KL
- D. GL/LD

2010/AL/II/24

Refer to the following diagram.

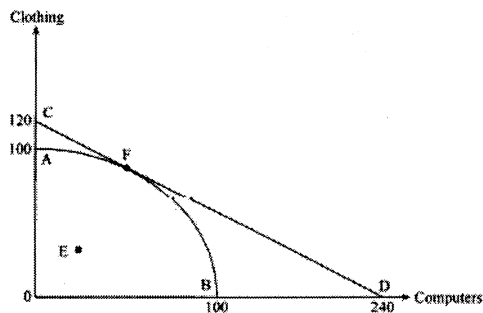


Arc AA' is the production possibility curve of a small country. The country produces at point P in the absence of trade. Suppose the straight line AA' represents the terms of trade, which of the following statements is correct?

- A. The country will import good Y .
- B. The country will export good Y .
- C. The country will not trade with the rest of the world.
- D. The country will consume more good X and good Y after trade.

2011/AL/II/25

AB and CD are the production possibility curves of Country X and Country Y respectively.



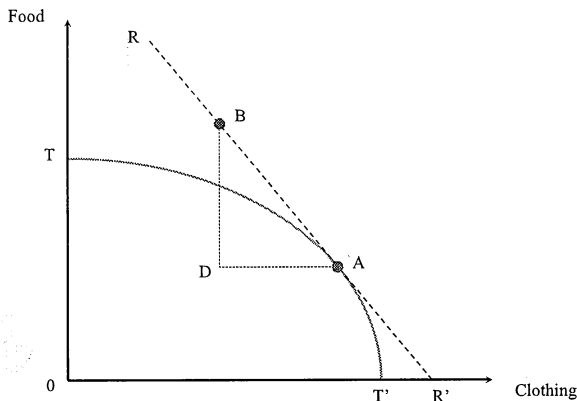
Which of the following statements about Country X and Country Y is/are correct?

- (1) Country X enjoys a comparative advantage in producing clothing.
 - (2) Country Y enjoys an absolute advantage in producing computers.
 - (3) At point E , both countries can produce more computers without reducing the production of clothing.
- A. (3) only
 - B. (1) and (2) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Short & Structured Questions

1991/AL/II/3

An economy not engaged in trade can produce and consume anywhere along its production possibility boundary TT' . With free-trade prices shown by the slope of lines RR' , production takes place at A and consumption at B. The economy exports DA units of clothing to obtain BD units of food.



With the aid of the diagram provided, show the new consumption pattern and the trade situation after a fire destroyed quantity DA units of its clothing. (10 marks)

1997/AL/II/8

The following table shows the amount of labour required in the production of one unit of Good X and one unit of Good Y in Country A.

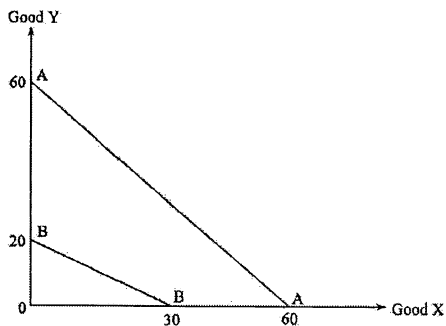
	Good X	Good Y
Country A	1	3

Suppose Country A has L units of labour and the terms of trade are 1.

- Construct the production possibility frontier of Country A. What good will Country A export? (2 marks)
- Suppose there is technical progress in the production of Good Y in Country A. Explain with the aid of a diagram how each of the following situations affect the trade pattern and the welfare of Country A.
 - The labour requirement in the production of one unit of Good Y is 2.
 - The labour requirement in the production of one unit of Good Y is 0.5.

(8 marks)

In the diagram below, AA and BB are the production-possibility frontiers of Country A and Country B respectively.



(a) (i) Which country has a comparative advantage in producing Good X? Explain.

(ii) Is mutually beneficial trade possible between these two countries? Explain.

(4 marks)

(b) If the terms of trade is 10 units of X in exchange for 8 units of Y, what will be the gain from trade per unit of X traded for each country?

(4 marks)

2013/DSE/II/14(a)

Country A requires 1 unit of labour to produce a unit of Good X and 2.5 units of labour to produce a unit of Good Y. Suppose labour is the only resource required for production. Country A is endowed with 10 units of labour and the terms of trade is $1X = 1Y$.

- (i) Explain which good Country A will import.
- (ii) Construct the production possibilities frontier and consumption possibilities frontier of Country A in Figure 3 (4 marks)

Suppose the labour force of Country A increases by 10 units.

- (iii) Will the direction of trade be affected? Will Country A be better off as a result? Explain your answers with the aid of Figure 3. (6 marks)

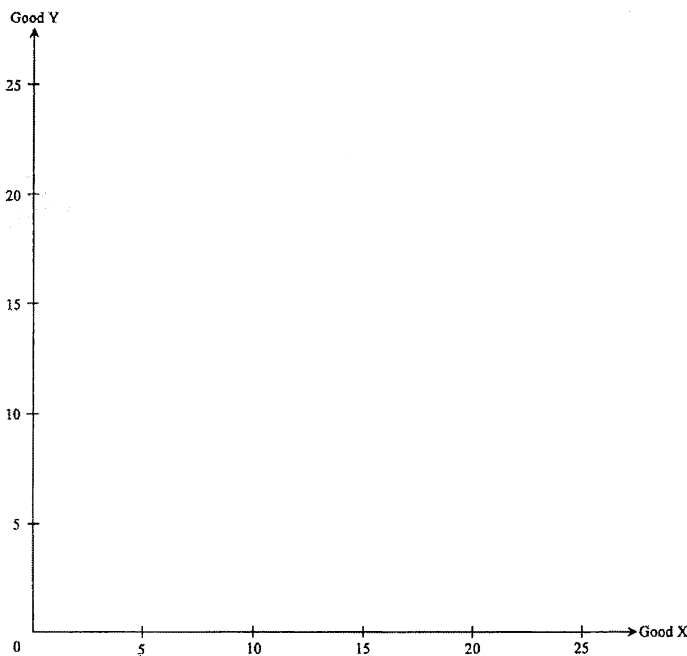
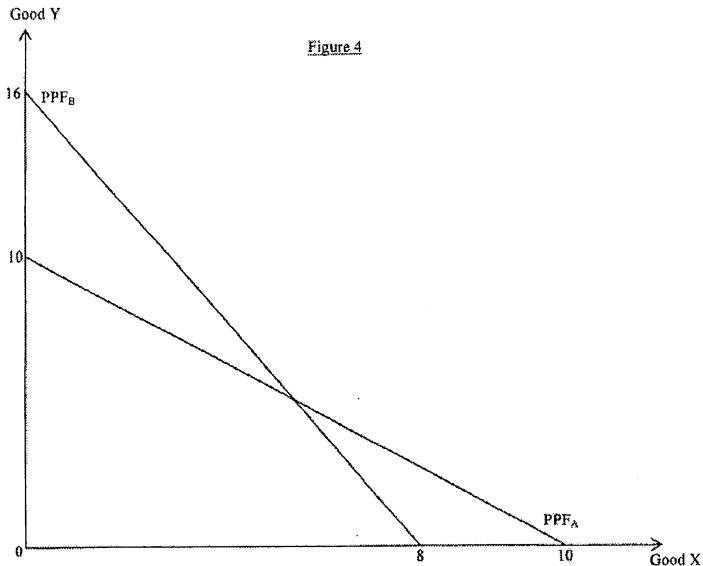


Figure 3

2014/DSE/II/14

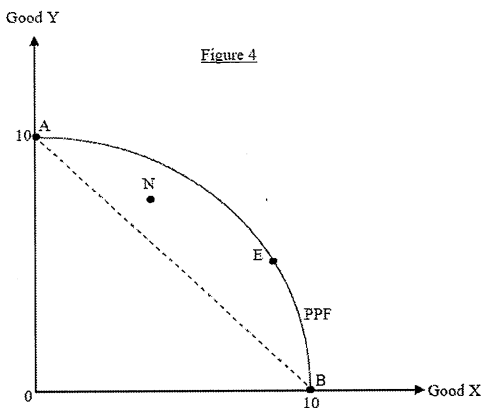
Figure 4 shows the production possibility frontiers (PPF) of Country A and Country B. Suppose the amount of resources of Country A doubles that of Country B in the production of Good X and Good Y. Both countries allocate their resources evenly in the production of Good X and Good Y.



- (a) Explain why the production possibility frontiers of Country A and Country B are straight lines. (2 marks)
- (b) Explain whether Country A enjoys
- an absolute advantage in producing Good X.
 - a comparative advantage in producing Good X.
- (5 marks)
- (c) Suppose the international price of a unit of Good X is 1.5 units of Good Y. Show on Figure 4:
- The production point of Country A after specialization.
 - The consumption possibility frontier (CPF) of Country A when there is trade.
 - The consumption point of Country A if 4 units of Good X are traded.
- (5 marks)

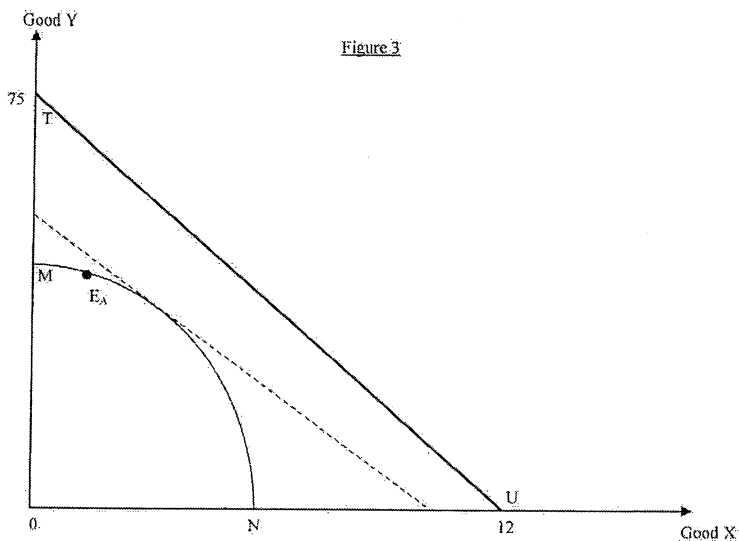
2015/DSE/II/14

In Figure 4, PPF is a country's production possibility frontier where E is the production point without trade. At point E, the domestic cost of production of one unit of good X is 2.5 units of good Y.



- (a) Explain whether the country would produce at point N. (2 marks)
- (b) The slope of dotted line AB is the world price of good X. Explain whether the country has a comparative advantage in producing good X. (3 marks)
- (c) Suppose the country engages in international trade. Indicate its production point after trade and its consumption possibility frontier in Figure 4. (3 marks)
- (d) With the aid of Figure 4, explain whether the country will gain from trade. (3 marks)

In Figure 3, MN and TU are the production possibility frontiers of Country A and Country B respectively.



- (a) Explain why the production possibility frontier of Country A is concave to the origin. (1 mark)

The production point of Country A without trade is E_A , at which the domestic cost of production of 1 unit of Good X is 4 units of Good Y.

- (b) With reference to the domestic cost of production in both countries, explain in which good Country A has a comparative advantage. (3 marks)

Suppose the slope of the dotted line is the world price of Good X.

- (c) Indicate in Figure 3:

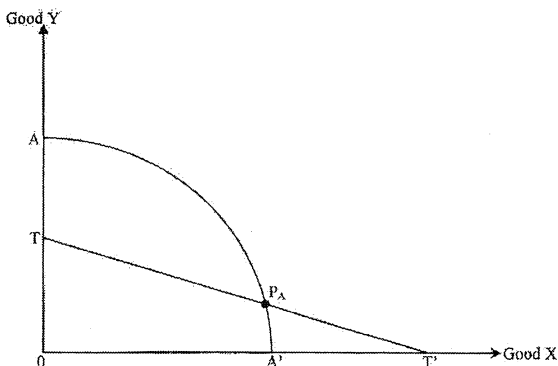
- (i) the production point of Country A after trade as P_A ,
- (ii) the consumption point of Country A as C_A given that Country A consumes the **SAME** amount of Good X after trade, and
- (iii) the volume of import and the volume of export of Country A.

(4 marks)

- (d) Country B has a technological improvement which helps double its productivity on Good X and Good Y. Explain whether the answer in part (b) will change. (2 marks)

Figure 5 shows the production possibility frontier AA' of Country A. P_A is the production point when there is no trade. TT' is the world price line of Good X.

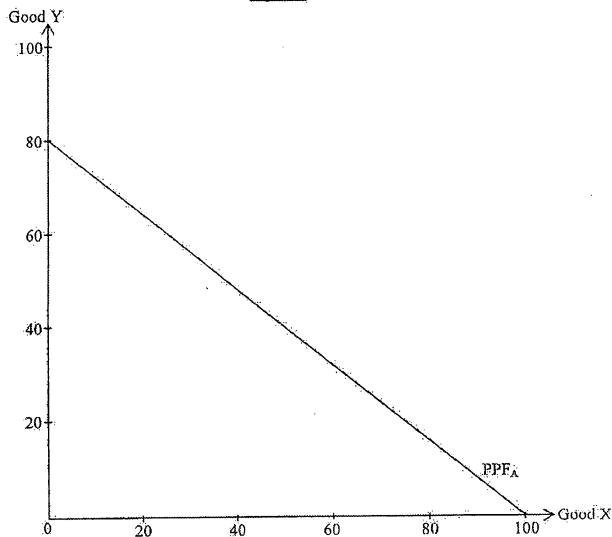
Figure 5



- (a) Initially Country A did not engage in international trade.
- Indicate the consumption point of Country A as C_A in Figure 5. Explain your answer. (2 marks)
 - Show the opportunity cost of producing Good X in Figure 5. Explain whether Country A would have a comparative advantage in producing Good X. (Hint: you may add a straight line at P_A .) (4 marks)
- (b) Country A opens up to international trade.
- Draw the consumption possibility frontier (CPF) of Country A in Figure 5. Indicate the production point as P_T in Figure 5 and explain your answer in terms of marginal cost. (3 marks)
 - Indicate the consumption point as C_T in Figure 5. Why is Country A better off after trade? (2 marks)
 - Indicate the volume of imports as M in Figure 5. (1 mark)

Figure 4 shows the production possibility frontier (PPF_A) of Country A.

Figure 4



Both Country A and its trading partner, Country B, produce Good X and Good Y. Country A has 50 units of resources whereas Country B has 30 units of resources. Country B requires 1 unit of resources to produce 1 unit of Good X and 0.5 units of resources to produce 1 unit of Good Y.

- (a) Draw the production possibility frontier of Country B (PPF_B) in Figure 4. (1 mark)
- (b) Explain which country has an absolute advantage in producing Good X. (3 marks)
- (c) The two countries trade with each other and the terms of trade is $1X = 1Y$. Also, Country B consumes equal amount of Good X and Good Y after trade. In Figure 4, indicate
 - (i) the production point (P_B) of Country B after specialisation, (1 mark)
 - (ii) the consumption possibility frontier (CPF_B) and consumption point (C_B) of Country B after trade and (2 marks)
 - (iii) the consumption possibility frontier (CPF_A), the volume of import and the volume of export of Country A. (3 marks)